Getting to Know the Market

Market

~ refers to the **group of people with needs to fulfill, money to spend and willingness to spend it.**

Unique selling proposition and value proposition

~ things that will differentiate one's product from existing products in the market.

Unique Selling Proposition (USP)

also seen as **unique selling point** is a factor that differentiates a product from its competitors, such as the lowest cost, the highest quality or the first-ever product of its kind. A **USP** could be thought of as “what you have that competitors don't”.

A successful USP promises a clearly articulated benefit to consumers, offers them something that competitive products can't or don't offer, and is compelling enough to attract new customers.

Value Proposition

is a business or marketing statement that a company uses to summarize why a consumer should buy a product or use a service. This statement convinces a potential consumer that one particular product or service will add more value or better solve a problem than other similar offerings.

Value Proposition

is a statement of how your product or service will benefit your customer. It clearly defines what you will do for your ideal customer and why you're better than your competitors.

Also, a statement which clearly identifies clear, measurable and demonstrable benefits consumers get when buying a particular product or service. It should convince consumers that this product or service is better than others on the market. This proposition can lead to a competitive advantage when consumers pick that particular product or service over other competitors because they receive greater value.

Example of Value Proposition

Manulife

investment teams
in a boutique
environment
+
the global
resources of
a financial
services leader

The Smartest Way To Get Around

Determine who your market are in terms of the following:

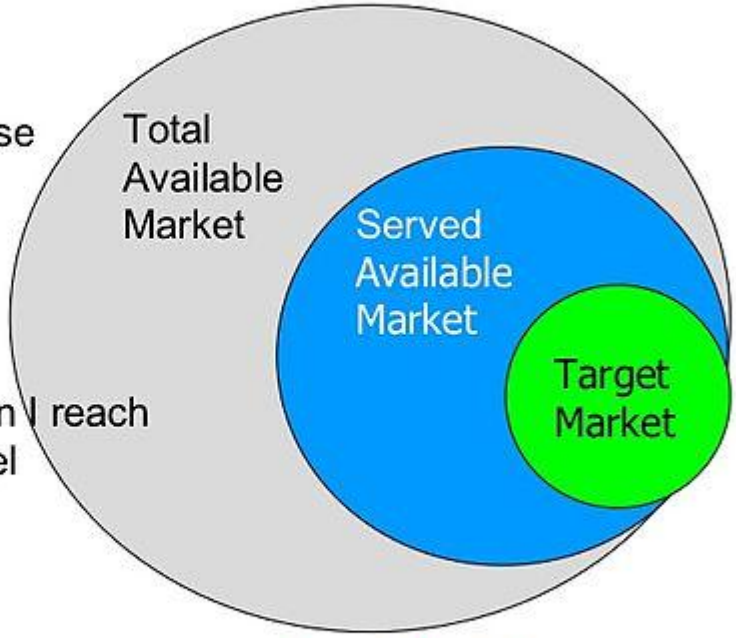
a) Target Market
b) Customer Requirements
c) Market Size

Target Market

~ is a group of people considered likely to buy a product or service. A target market consists of customers that share similar characteristics, such as age, location, income and lifestyle, to which a business directs its marketing efforts and sells its products.

Total Available Market, Served Available Market, Target Market

TAM = how big is the universe



SAM = how many can I reach with my sales channel

Target Market (for a startup) = who will be the most likely buyers

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Customer Requirements

~ Particular characteristics and **specifications of a good or service** as determined by a customer.

Market Size

~ The **number of individuals in a certain market who are potential buyers and/or sellers** of a product or service. Companies are interested in knowing the market size before launching a new good or service in an area.

Validate customer-related concerns / needs through:

a) Interview
b) Focus Group Discussion (FGD)
c) Survey

Interview

An interview is **conversation where questions are asked and answers are given**. In common parlance, the word "interview" refers to a one-on-one conversation with one person acting in the role of the *interviewer* and the other in the role of the *interviewee*.

3 different formats of interviews:

1. ***Structured interviews*** **consist of a series of pre-determined questions that all interviewees answer in the same order**. Data analysis in structured interviews usually tends to be more straightforward compared to other forms of interviews, because researcher can compare and contrast different answers given to the same questions.

2. Unstructured interviews are usually the least reliable form of interviews from research viewpoint, because no questions are prepared prior to the interview and interview is conducted in an informal manner. Unstructured interviews can be associated with a high level of bias and comparison of answers given by different respondents tends to be difficult due to the differences in formulation of questions.

3. Semi-structured interviews contain components of both, structured and unstructured interviews. In semi-structured interviews interviewer prepares a set of same questions to be answered by all interviewees, however, additional questions might be asked during interviews to clarify and/or further expand certain issues.

Advantages of interviews include possibilities of collecting detailed information about research questions. Moreover, in interviews researcher has direct control over the flow of primary data collection process and have a chance to clarify certain issues during the process is in need arises.

Disadvantages of interviews include longer time requirements compared to some of primary data collection methods and difficulties associated with arranging an appropriate time with perspective sample group members to conduct interviews.

When conducting interviews **you should have an open mind and refrain from displaying disagreements in any forms when viewpoints expressed by interviewees** contradict your own ideas. Moreover, timing and environment for interviews need to be scheduled effectively. Specifically, interviews need to be conducted in a relaxed environment, free of any forms of pressure for interviewees whatsoever.

Respected scholars warn that "in conducting an interview the interviewer should attempt to create a friendly non-threatening atmosphere. Much as one does with a cover letter, the interviewer should give a brief, casual introduction to the study; stress the importance of the person's participation; and assure anonymity, or at least confidentiality, when possible" (Connaway and Powell, 2010, p.170). Moreover, Engel and Schutt (2009) warn about possible interviewee bias during the primary data collection process and argue that interviewee bias would seriously compromise the validity of the project findings. Other scholars, on the other hand, recommend that "some interviewer bias can be avoided by ensuring that the interviewer does not overreact to responses of the interviewee. Other steps that can be taken to help avoid or reduce interviewer bias include having the interviewer dress inconspicuously and appropriately for the environment, holding the interview in a private setting, and keeping the interview as informal as possible" (Connaway and Powell, 2010, p.172).

Survey Research

~ The respondents are asked a variety of questions which are often about their personal information, their motivations, and their behavior. Surveys can be conducted via telephone, personal (face-to-face interview), and mail interview (either printed or electronic mail).

In planning a survey, there are three important concerns that one has to look into:

1. Sampling technique
2. Getting the sample size
3. Designing the questionnaire

Steps in Conducting Survey Research:

1. Develop a research objectives.
2. Determine your sample.
3. Choose the interviewing methodology.
4. Create your questionnaire.
5. Pre-test the questionnaire.
6. Conduct interviews and enter data.
7. Analyze the data.

Focus Group Discussion

~ is an interview by a facilitator of a small group of people that normally lasts for an hour and a half up to three hours. The participants are selected because of their knowledge about their topic. The objectives must be clear and precise. It takes great deal of planning from the researcher's end to ensure that the objectives are met.

Four Key Decisions to be Made in FGD:

1. Respondent Selection
2. Sample Size
3. Data Gathering
4. Data Analysis

In analyzing FGD, the researcher should compare and contrast all points raised by the different respondents and note from what point of view they are coming from. The researcher must summarize the points where the participants strongly agreed upon or disagreed upon on an issue.

In the final analysis, the objectives of the FGD must be addressed and conclusive insights must be drawn to help the entrepreneur improve his/her business. Again, insighting is needed after the results of the FGD have been documented to generate superior ideas or modify existing ones.